

US Treasuries-Drawing a Line at the Long End

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On August 19, the US Treasury announced that it will at least double the size of its long-term bond buybacks, from \$2 billion to \$4 billion per operation, between September 9 and the November Quarterly Refunding. The announcement followed a rise in the 30-year Treasury yield to roughly 5.3% and is drawing attention to how the Treasury may respond if pressure at the long end persists.

The increase focuses on Treasury (UST) securities with 10-20 years and 20-30 years remaining to maturity. The purchases involve off-the-run issues rather than current benchmark bonds, consistent with Treasury's stated goal of improving liquidity in older, less actively traded securities. Discussions about increasing the size and frequency of the buyback operations, which have been in place since 2024, predate the recent rise in yields, so it is difficult to view the decision simply as a response to the latest market move.

The purchases remain small relative to the overall Treasury market, but yields were down approximately 9 basis points (bps) at the long end following the announcement. The reaction appeared to be about more than the purchases themselves, with investors also considering what Treasury might do if long-term yields continue to rise.

Western Asset's investment team views the increase as more than an effort to support liquidity, seeing it as a signal that Treasury is increasingly attentive to higher long-term yields and willing to respond. The decision to increase buybacks outside the regular Quarterly Refunding process adds to that interpretation. Coming after the recent intervention in the Japanese yen, it also suggests that Treasury Secretary Scott Bessent is prepared to use the tools available to Treasury when market conditions run counter to the administration's objectives.

Looking ahead, the team anticipates that an adjustment to long-end issuance may be the next step if demand for longer-dated Treasuries weakens further. Changes in recent Quarterly Refunding language have already pointed to greater flexibility around future issuance, and another sustained rise in long-term yields could accelerate such a shift.

None of this removes the broader concerns around large US fiscal deficits, heavy government borrowing, and inflation. Government bond yields have also been rising across several developed markets as investors reassess the compensation they require for holding longer-maturity debt. Additional UST buybacks may improve trading conditions, and changes in issuance could alter the amount of duration the market needs to absorb, but neither resolves the underlying fiscal pressures.

If yields come under renewed pressure, the Treasury's response will be more revealing. Further increases in buybacks or changes to long-end issuance would provide stronger evidence that policymakers are responding not only to market functioning, but also to the level of yields.

WHAT ARE THE RISKS?

All investments involve risks, including possible loss of principal.

The allocation of assets among different strategies, asset classes and investments may not prove beneficial or produce desired results.

Fixed income securities involve interest rate, credit, inflation and reinvestment risks, and possible loss of principal. As interest rates rise, the value of fixed income securities falls. Low-rated, high-yield bonds are subject to greater price volatility, illiquidity and possibility of default.

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